

PARDEE RESOURCES COMPANY

2ND QUARTER 2021



Responsible Development of Natural Resource Properties
Integrity Creativity Excellence Respect Teamwork Family

To Our Shareholders:

During Q2 2021, Pardee Resources Company earned \$2.97 per share versus a loss of \$0.36 per share incurred during Q2 2020. EBITDA during the quarter was \$6.03 per share, as compared to EBITDA of \$1.59 per share during Q2 2020. Strength in the domestic and global economies led to higher commodity prices in our three primary markets, which are hardwood timber, metallurgical coal, and natural gas. Volumes of hardwood timber and metallurgical coal produced from our properties also increased, despite ongoing manpower shortages in both sectors. Lower revenues from our New Jersey solar photovoltaic (solar PV) systems were partially offset by strong performance from our California solar PV facility. Finally, we are monitoring our table grape farms for possible negative impacts from the record-high California temperatures recorded in June and July 2021.

Metallurgical Coal Division: Metallurgical coal prices continued to strengthen during the quarter supported by high steel demand and limited met coal supply. Domestic steel prices reached record highs as production returned to pre-COVID levels. While high-Vol A met coal prices were up nearly 40% from Q2 2020 to Q2 2021, many producers committed a portion of their 2021 production at the lower 2020 prices. Consequently, the full impact of the price gains will not be realized until late 2021 or early 2022. Our two operating coal lessees during the quarter realized production and price increases versus both Q2 2020 and Q1 2021, leading to higher royalty income for Pardee. Several initiatives are underway to expand mining operations and increase met coal production from our properties.

Oil & Gas Division: Natural gas prices continued their upward trend as demand was boosted by the impact of a cold winter and a warm spring, as well as gains in exports and a rebound in the industrial sector following COVID-19. Concurrently, supply growth was limited as producers focused on returning capital to shareholders and improving their balance sheets rather than committing new capital to exploration and development. Appalachian Basin natural gas prices averaged \$2.25 per MMBtu during Q2 2021, 62% higher than \$1.39 per MMBtu averaged during Q2 2020. Assuming current futures market prices, natural gas in the Appalachian Basin is expected to sell for an average of \$2.64 per MMBtu for all of 2021, 77% higher than 2020 average levels. An 88% increase in average prices realized by our lessees during the quarter versus Q2 2020 contributed to a 115% increase in Division revenues.

Timber & Surface Division: With single family housing starts at levels not seen since before the 2008 financial crisis, and renewed growth in hardwood exports to Asia, Canada, and Mexico, the lumber markets were strong during Q2 2021. Hardwood lumber prices improved throughout the quarter leading to higher returns for landowners. Pardee's realized hardwood stumpage price averaged \$309 per mbf during Q2 2021, a 43% increase over Q2 2020 levels, while hardwood production from our properties was 161% higher than a year ago. Despite strong softwood lumber markets during the quarter, softwood stumpage prices remained weak due to excess inventories of standing timber in the forests.

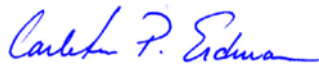
Alternative Energy Division: While a full 10-year extension to the federal investment tax credit (ITC) now seems less likely, we still expect the 30% ITC to be extended past 2021, a positive development for the industry. As our corporate earnings and corresponding tax liability increases, we are able to consider larger alternative energy investments which rely on the ITC. Division revenues during Q2 2021 declined 6.5% versus Q2 2020. Results were negatively impacted by a service interruption at our largest New Jersey solar PV facility and the expiration of certain New Jersey solar renewable energy credit (SREC) contracts which were replaced at lower market prices. These setbacks were partially offset by record high operating performance from our California solar PV system.

Agriculture Division: The recent heat wave in the western U.S. included record high temperatures in Southern California during June and July. Spot checks of our two table grape ranches suggest that our vines and “bunch counts” are healthy, but nonetheless concerns remain that the excessive heat may negatively impact our upcoming table grape harvest. We do not expect the western drought to materially impact operations since both our ranches have access to irrigation well water. Our 420-acre almond tree farm located in Evora, Portugal, is developing on schedule and expected to produce a limited harvest later this year.

Summary: We are thankful for the dedication of our employees whose daily contributions have enabled Pardee to persevere through the many uncertainties and challenges of the past 15 months. The recent improvement in our operating results speaks to the importance of our long-term investment perspective and our diversified asset portfolio. We ended the quarter with a strong balance sheet, including \$25 million in cash, and the Company is well-positioned to meet its dual goals of returning capital to shareholders and investing for future growth.

*Please see page 6 for an update of legal matters.

Sincerely yours,



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Pardee Resources Company
Unaudited Consolidated Balance Sheets

(Dollars in Thousands)

ASSETS	<u>06-30-21</u>	<u>12-31-20</u>
Current Assets:		
Cash & Cash Equivalents	\$25,041	\$22,367
Accounts Receivable	4,913	7,030
Prepaid Income Taxes	3,165	2,745
Other	<u>2,325</u>	<u>1,150</u>
	<u>35,444</u>	<u>33,292</u>
Fixed Assets: (Net of Depl. & Deprec.)		
Land & Right of Ways	28,432	28,953
Mineral Rights - Coal	33,493	33,520
Timber	10,404	10,588
Solar Equipment	21,180	21,835
Building & Structures	1,235	1,273
Agriculture Development	8,605	8,709
Equipment	475	542
Automobiles	106	128
Other Fixed Assets	<u>944</u>	<u>988</u>
	<u>104,874</u>	<u>106,536</u>
Investments & Other		
Oil & Gas Investments (Net of Depl. & Deprec.)	37,673	38,576
Equity Investments	555	553
Right of Use Asset	3,361	3,561
Other	<u>273</u>	<u>408</u>
Total Assets	<u><u>\$182,180</u></u>	<u><u>\$182,926</u></u>
LIABILITIES & EQUITY		
Current Liabilities:		
Accounts Payable	\$2,208	\$2,709
Deferred Revenues	83	371
Current Portion Lease Liability	<u>612</u>	<u>612</u>
	2,903	3,692
Noncurrent Liabilities:		
Non-recourse Debt	1,227	1,227
Asset Retirement Liability	162	160
Supplemental Pension Plan	476	461
Deferred Revenue, Net of Current Portion	1,019	897
Deferred Taxes	19,696	19,696
Lease Liability	3,025	3,282
Other	<u>105</u>	<u>90</u>
Total Liabilities	<u>28,613</u>	<u>29,505</u>
Shareholder's Equity:		
Common Stock	775	775
Additional Paid in Capital	14,064	14,513
Accumulated Other Comprehensive Income	179	179
Retained Earnings	160,592	160,928
Treasury Stock	<u>(25,135)</u>	<u>(26,178)</u>
	150,475	150,217
Noncontrolling Interest	<u>3,092</u>	<u>3,204</u>
Total Equity	<u>153,567</u>	<u>153,421</u>
Total Liabilities & Equity	<u><u>\$182,180</u></u>	<u><u>\$182,926</u></u>

Pardee Resources Company
Unaudited Consolidated Income Statements

(Dollars in Thousands)

	Three Months Ended <u>06-30-21</u>	Three Months Ended <u>06-30-20</u>	SIX Months Ended <u>06-30-21</u>	SIX Months Ended <u>06-30-20</u>
Divisional Revenues:				
Metallurgical Coal	\$2,793	\$1,550	\$4,598	\$3,940
Oil & Gas	1,594	735	3,304	2,379
Timber & Surface	1,759	821	2,991	1,826
Alternative Energy	1,289	1,378	2,022	2,160
Agriculture	<u>(69)</u>	<u>253</u>	<u>(69)</u>	<u>253</u>
	<u>7,366</u>	<u>4,737</u>	<u>12,846</u>	<u>10,558</u>
Divisional Expenses:				
Metallurgical Coal	686	859	1,328	1,558
Oil & Gas	1,048	1,133	2,085	2,303
Timber & Surface	818	746	1,440	1,490
Alternative Energy	539	512	1,081	1,095
Agriculture	<u>164</u>	<u>274</u>	<u>320</u>	<u>433</u>
	<u>3,255</u>	<u>3,524</u>	<u>6,254</u>	<u>6,879</u>
Net Operating Income	\$4,111	\$1,213	\$6,592	\$3,679
Interest and Other Income	12	19	23	88
Gain (Loss) on Equity Investment	45	57	50	47
General and Administrative	(1,503)	(1,573)	(3,033)	(3,163)
Interest Expense	<u>(7)</u>	<u>0</u>	<u>(14)</u>	<u>0</u>
Income Before Taxes	\$2,658	(\$284)	\$3,618	\$651
Taxes	<u>734</u>	<u>(74)</u>	<u>995</u>	<u>169</u>
NET INCOME	\$1,924	(\$210)	\$2,623	\$482
Net (Income) Loss to Noncontrolling Interest	<u>28</u>	<u>(23)</u>	<u>59</u>	<u>(6)</u>
Net Income (Loss) to Pardee Resources Shareholders	<u>1,952</u>	<u>(233)</u>	<u>\$2,682</u>	<u>\$476</u>
EARNINGS PER SHARE	<u>\$2.97</u>	<u>(\$0.36)</u>	<u>\$4.08</u>	<u>\$0.73</u>
EBITDA PER SHARE	<u>\$6.03</u>	<u>\$1.59</u>	<u>\$9.33</u>	<u>\$5.17</u>
(earnings before interest, taxes, depreciation and amortization)				
Weighted Average Number of Common Shares Outstanding	<u>657,227</u>	<u>653,519</u>	<u>657,227</u>	<u>653,519</u>
Common Dividend Per Share	<u>\$1.80</u>	<u>\$1.80</u>	<u>\$3.60</u>	<u>\$3.60</u>
Total Shareholder Return (dividend paid plus change in stock price)			<u>23.61%</u>	<u>-14.44%</u>

Pardee Resources Company Comparison Data Sheet

	Three Months Ended <u>06-30-21</u>	Three Months Ended <u>06-30-20</u>	% <u>Change</u>	Six Months Ended <u>06-30-21</u>	Six Months Ended <u>06-30-20</u>	% <u>Change</u>
Metallurgical Coal						
Revenues - Millions	\$2.79	\$1.55	80.0%	\$4.60	\$3.94	16.8%
Production - Coal Tons - Millions	0.49	0.32	53.1%	0.84	0.83	1.2%
Royalty/Coal Ton	\$3.84	\$2.93	31.1%	\$3.66	\$3.03	20.8%
Oil & Gas						
Revenues - Millions	\$1.59	\$0.74	114.9%	\$3.30	\$2.38	38.7%
Production - bcfe	0.56	0.55	1.8%	1.20	1.29	-7.0%
Price/mcfe	\$2.86	\$1.52	88.2%	\$2.86	\$1.81	58.0%
Timber & Surface						
Revenues - Millions	\$1.76	\$0.82	114.6%	\$2.99	\$1.83	63.4%
Production - Board feet - Millions	4.20	1.61	160.9%	8.01	4.17	92.1%
Stumpage Price/Thousand Bd. Ft.	\$309.16	\$216.67	42.7%	\$269.14	\$206.82	30.1%
Production - Softwood Tons - Thousands	9.87	6.22	58.7%	19.72	20.67	-4.6%
Stumpage Price/Ton Softwood	\$12.87	\$14.25	-9.7%	\$13.41	\$15.30	-12.4%
Production - Hardwood Tons - Thousands	17.71	6.53	171.2%	28.56	13.96	104.6%
Stumpage Price/Ton Hardwood	\$2.71	\$1.77	53.1%	\$2.62	\$2.09	25.4%
Alternative Energy						
Revenues - Millions	\$1.29	\$1.38	-6.5%	\$2.02	\$2.16	-6.5%
Production - k/w - Millions	6.06	5.95	1.8%	9.65	9.58	0.7%
Electric Sales Price per k/w	\$0.111	\$0.110	0.9%	\$0.113	\$0.111	1.8%
Production - SREC Units	6,055	7,249	-16.5%	9,644	9,224	4.6%
SREC Price/Credit	\$97	\$96	1.0%	\$92	\$113	-18.6%
NET DIVISIONAL OPERATING INCOME:						
(Dollars in Millions)						
Metallurgical Coal	\$2.11	\$0.69	205.8%	\$3.27	\$2.38	37.4%
Oil & Gas	0.55	(0.40)	237.5%	1.22	0.08	1425.0%
Timber & Surface	0.94	0.08	1075.0%	1.55	0.34	355.9%
Alternative Energy	0.75	0.87	-13.8%	0.94	1.07	-12.1%
Agriculture	(0.23)	(0.02)	-1050.0%	(0.39)	(0.18)	-116.7%
Net Operating Income	<u>\$4.12</u>	<u>\$1.22</u>	237.7%	<u>\$6.59</u>	<u>\$3.69</u>	78.6%
EBITDA - Millions	<u>\$3.96</u>	<u>\$1.04</u>	280.8%	<u>\$6.13</u>	<u>\$3.38</u>	81.4%
(earnings before interest, taxes, depreciation and amortization)						

On December 7, 2007, Lexington Land Development, LLC (Lexington) filed litigation against certain parties in East Baton Rouge Parish, Louisiana. Lexington claims that their 48-acre parcel was contaminated by a release from a pipeline owned and operated by Shell Pipeline Company (Shell), as well as the oil and gas exploration and production activities of other various defendants, including Zinn Petroleum Company (Zinn). Lexington seeks various remedies, including remediation and damages. The Company is not a defendant in this case; however, the Company has a minority interest in certain leases and wells operated by Zinn, and, under joint operating agreements, the Company and certain other interest owners are responsible for their respective shares of any damages or judgments sustained by Zinn.

Under Louisiana law, this litigation triggered attention from regulatory agencies. The Louisiana environmental regulatory agencies required Shell and other defendants, including Zinn, to submit plans for assessing soil and ground water conditions at the site. Shell completed its assessment and remediation which was approved by the agencies. Zinn's environmental experts have concluded their assessment and determined that Zinn's operations, which began in 1992, have been in compliance with regulatory standards. Zinn's experts have further determined that the data indicating the presence of certain constituents in the soil and shallow groundwater are the result of either former closed production storage pits used by other operators before Zinn began operations on the property or natural environmental conditions. Zinn's experts have also opined that the presence of these constituents is, for the most part, within applicable regulatory standards and not harmful to the environment. Finally, Zinn's experts have found defects in the methodology used by the plaintiff's experts and recommend that decisions regarding the need for assessment/restoration, as may be appropriate, be done under the direction of the regulatory agency in order to achieve regulatory closure status for the site.

On October 16, 2019, the District Court ruled that plaintiff's claims against co-defendant Chevron would be dismissed because they were not filed timely. This was a favorable development which was appealed by the plaintiff. The District Court denied this appeal and the plaintiff has subsequently requested a rehearing from the Court of Appeals. This request for a rehearing was denied. Discovery is not complete, and a trial date has not been set.

Zinn is vigorously defending both the civil and regulatory actions. This action is subject to substantial uncertainties concerning the outcome of material factual and legal issues related to the litigation. Accordingly, we cannot currently predict the manner and timing of the resolution of these matters and are unable to estimate the amount of any possible losses, which could be material.

DC Solar Solutions, Inc.

In December 2015, the Company invested \$7.7 million in a limited liability company (Fund) that purchased mobile solar generators (MSGs) from DC Solar Solutions, Inc. (DC Solar) and, in turn, leased the MSGs to DC Solar Distribution, Inc., an affiliate of DC Solar. In early 2019, the Company learned through public sources that, in December 2018, the U.S. government seized substantially all of the assets of DC Solar and its affiliates. In February 2019, DC Solar and its affiliates, including our lessee, filed for Chapter 11 bankruptcy protection. In February 2019, an affidavit from a Federal Bureau of Investigation special agent was filed in the bankruptcy proceeding asserting that DC Solar was operating a fraudulent "Ponzi-like scheme" and that a majority of the MSGs sold to investors and a majority of the lease revenues claimed to have been received by DC Solar Distribution, Inc. may not have existed. The Chapter 11 proceedings were subsequently converted to Chapter 7 liquidations. Due to the bankruptcy proceedings being converted to Chapter 7, the Company evaluated its remaining equity investment value of \$485,332 and recorded an impairment charge in that amount as of December 31, 2018.

In 2019, an independent audit located and identified all of the 125 MSGs purchased by the Fund in 2015. On July 2, 2020, the DC Solar Bankruptcy Court entered an order authorizing the sale of the Fund's MSGs, along with those of the other DC Solar funds. The buyer conducted an inventory of the MSGs to be purchased and was able to locate only 113 of the Fund's 125 MSGs that had been located during the 2019 inventory. In September 2020, the buyer closed on its acquisition of the 113 MSGs, yielding \$412,225 in gross sale proceeds. As a result of the MSG sale, the Company was required to recapture the fifth unvested year related to the underlying investment tax credit that the original investment yielded. In 2015, the investment allowed the Company to claim a \$5.6 million investment tax credit which requires a five-year holding period. The accounting for this investment tax credit in 2015 created a \$5.6 million tax asset while recording a direct write-off to the equity investment's carrying value. In 2020, the 20% investment tax credit recapture restored the investment's carrying amount to \$1.1 million or 20% of the original investment tax credit claimed. Subsequently, the Company recorded a \$1.1 million charge to 2020 pre-tax earnings related to this recapture. For tax purposes, the \$1.1 million charge is not tax deductible, and 20% of the original tax asset was removed from the Balance Sheet.

The Company remains vigorously engaged with other DC Solar investors, which include several major insurance companies and banks, to determine the best path forward to protect our interests and minimize the financial impact on the Company arising from the DC Solar fraud. Due to various substantial uncertainties, the Company is currently unable to determine the financial impact, if any, arising from this complex situation; however, this impact could be as much as \$6.1 million, which includes related tax impacts.

Forward Looking Statement

Certain of the statements contained herein (other than statements of historical facts) are forward-looking statements. Such forward-looking statements include estimates and assumptions related to the Company's growth, reserves, the state of future markets for natural resource, renewable and agricultural products, and the ability of the Company to sell its natural resource, renewable and agricultural products on a profitable basis. These forward-looking statements are subject to change and uncertainty which are, in many instances, beyond the Company's control and have been made based upon management's expectations and beliefs concerning future developments and their potential effect on the Company. There can be no assurance that future developments will be in accordance with management's expectations or that the effect of future developments on the Company will be those anticipated by management. Actual financial results, including revenue growth and earnings results, could differ materially from those anticipated by the Company depending on the outcome of certain factors, which may include, among others, changes in the wholesale prices for timber, oil, natural gas, coal, renewable and agricultural products; increases in property acquisition costs; adverse weather conditions; litigation; failures of our lessees to mine, drill and harvest at rates we currently anticipate; differences between actual reserves and estimated amounts; legislative changes or government regulations which make it more difficult or expensive to sell, extract or harvest our natural resource, renewable and agricultural products or impose greater financial burdens on the users of such products; unanticipated costs for remediation and reclamation; the scope of the fraud alleged to have been conducted by DC Solar; and other risks and uncertainties.

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